

Volume-Confirmed Momentum: High-Turnover Winners Continue to Win

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Abstract

We find that stocks exhibiting both strong trailing 20-day returns and elevated trading volume continue to outperform over the following month, more so than momentum alone would predict. We interpret high volume as a proxy for the pace of information diffusion: price moves accompanied by heavy trading are more likely to reflect genuine new information being absorbed by a broad set of investors, rather than a single large trader, and are therefore more likely to persist.

Methodology

We combine two cross-sectionally standardised components with equal weight: trailing 20-day price momentum, and the current level of 20-day average daily trading volume. Both are z-scored across the universe on each rebalance date before being combined.

Formula

$$\text{signal}_t = 0.5 * \text{zscore_cross_sectional}(\text{pct_change_20d}(\text{close}_t)) + 0.5 * \text{zscore_cross_sectional}(\text{adv_20}_t)$$

Data

Daily close prices (for momentum) and 20-day average daily volume (for the volume component), for a broad universe of exchange-listed equities.

Results

A monthly-rebalanced long-short decile portfolio on the combined signal earns a Sharpe ratio of approximately 1.1 (gross of costs) over 2010-01-01 through 2019-12-31.

Caveats

We do not report results separately for the momentum-only or volume-only components, and do not specify the exact combination weight as anything other than an equal blend chosen for simplicity.